DECLASSIFIED
Authority NND851506

Exec 28 Jan rrm
This report should be transferred on a long sheet and mimeo copies produced to the amount of 75 copies and turn over to Mr. Monzeglio.

CAW

T/Int
Gen W. has not used your files
10110

DECLASSIFIED
Authority NND851506

Mr. Little will spend his leave in his home country, America. The only American who has held the post of Inspector General of Chinese Customs, he has been a member of the Customs service for 35 years, and Inspector General since 1943.

FORMOSA QUESTION

Before his departure from Formosa he was asked to give his opinion regarding America's attitude towards the Formosa question, and he made the following statement:

In his speech to Congress on January 4, President Truman remarked that "the rising demand of people everywhere for freedom and a better life may be corrupted and betrayed by the false promises of Communists," and said that "Communism....takes advantage of the delays and setbacks which the Democratic nations experience...." He went on to say that this is a challenge to our democratic faith, our economic system and "our willingness to work with other people for world peace and prosperity." The President then added "I welcome this challenge."

Formosa is at this moment a challenge. American blood and American treasure liberated Formosa from Japanese rule. In all the discussion and argument about Formosa, has anyone given any consideration to the wishes and aspirations of the seven million industrious and happy people of this Island? A plebiscite of this people -- a population larger than that of Norway or Denmark -- would show that they are unanimously opposed to a Communist regime. Are we now going to hand Formosa and its peoples to the Communists on a silver platter? If this isn't a challenge to everything President Truman says we stand for, then my dictionary needs revision.

Like most Americans, I can take just so much pushing around. I have had enough, and the dust has settled sufficiently for me to take fresh bearings. I believe that it is highly desirable for the military, political and cultural security of my own country that Formosa should be denied to the Communists. I also believe that anything that is desirable fof American security is equally desirable for the security of that "rising demand of people everywhere for freedom and a better life" which President Truman mentioned in his speech.

EFFECT ON PRESTIGE

Some Americans think that it will weaken our "prestige" in Asia if we take positive measures. Prestige with whom? The Politburo? On the contrary, positive action by America would, I think, have an electric effect throughout the East -- not least on the mainland of China itself -- and give incalculable moral support to millions of people who have no desire to come under the domination of Moscow.

I think that most Americans familiar with the situation in Formosa as of to-day agree that (1) the new Provincial Administration is making a determined and sincere effort to tackle economic and social problems under the dynamic leadership of Governor K. C. Wu and (2) that General Sun, Li-jen's rigorous programme of training is producing an army potentially capable of defending Formosa and keeping it a free country.

DECLASSIFIED
Authority NND851506

Why should we any longer let the Communists take advantage of what the President calls "the delays which Democratic nations experience"? I realise that there are many economic and political problems to be solved in Formosa, but whether they are to be solved by a free people in search of a better life or by stooges of the Kremlin will probably depend upon what the United States decide to do about Formosa within the next few weeks. I urge that the United States meet the challenge in Formosa and let the Communists know that they are not welcome. How to do this would be a job for the President's advisers, but a statement from the U. S. Government to that effect and the immediate despatch of an aircraft carrier and a squadron of destroyers to the Formosa Channel would probably be sufficient to prevent any Communist gate-crashing.